Initial Client Prospectus

Example Business Overview ("EBO")

St. Louis, Missouri

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Executive Summary

Business Overview

EBO is based in St. Louis, with offices in Columbia, Missouri and Chicago, Illinois. The company services 244 clients and 38K units, with 63 employees. EBO has a sizable maintenance business, representing over a third of total revenue. EBO is owned primarily by Bob and Jane, who each control 47.5% of the company. Their CFO, Bobbie, owns the remaining 5% and manages client accounting. The company earned $8.9M in Pro Forma Dec'24 revenue and $2.0M (27% margin) in Pro Forma Dec'24 EBITDA.

Key Statistics

$20M - $26M	**$8.9M**	**$2.0M**	**10.0x – 13.0x**
Asking Price Range	PF Dec'24 Revenue	PF Dec'24 EBITDA	EBITDA Multiple Range

Metric	Value	Notes	Valuation Impact
Year Founded	***1984***	*Founders still involved*	*Well-established business*
Client Count	***244***	*60% HOA 40% condo*	*Platform-sized client base*
Employee Count	***63***	*Includes 24 employees that are pass-through payroll*	*Includes team leads which reduces post-closing risk*
Pro Forma Dec'24 Revenue	***$8.9M***	*Includes $800K of BSI income*	*High-quality BSI, maintenance, and avg client fees increase multiple*
Pro Forma Dec'24 EBITDA	***$2.0M***	*Includes $800K of BSI earnings*	*Businesses in this range trade for 10.0x – 13.0x EBITDA*
Y/Y Revenue Growth Rate	***28%***	*Supported by hiring four full-time employees*	*Proven growth engine increases future earnings expectations*
5-Year Client Retention Rate	***95%***	*5% above industry average*	*Decreases likelihood of client turnover post-close*
Top 25 Client Concentration (% of EBITDA)	***18%***	*15% above industry average*	*Significantly above-market, offer will likely include retention contingencies*
5-Year Employee Retention Rate	***92%***	*12% above industry average*	*Increases buyer confidence in post-closing employee retention*
Payroll % of Revenue	***54%***	*6% below industry average*	*Indicates operational efficiencies*

Key:

Positively impacts valuation	Negatively impacts valuation

Valuation & Structure Rationale

In the association management industry, EBO's valuation would trade at 10.0x – 13.0x earnings based on the company's $2M of PF Dec'24 EBITDA. EBO's track record of client growth, client retention, employee retention, and staffing efficiency puts the company on the higher end of the valuation spectrum, implying a valuation of approximately $26M (13.0x multiple).

In terms of deal structure, EBO's significant customer concentration will likely lead to an offer with contingent payments based on retaining specific clients for a period of time (likely 1 – 2 years) post close. Since both Bob and Jane would like to retire and currently work full-time as the CEO and CFO, buyers will likely request that they remain active for 6 – 18 months post-close as the buyer identifies, hires, and trains replacement executives to manage operations.

Recommended Offer Structure

Deal Term	Details
Asking Price	*$26M*
Valuation Multiple	*13.0x*
Cash at Close	*$21M (80% of valuation)*
Seller Note	*$5M, 18-month term, quarterly payments, 9.0% interest (20% of valuation)*
Seller Note Contingencies	*$1M reduction in seller note if Brentwood, Raintree, or Westport terminate service*
Earnout (if applicable)	*None*
Seller Stay-On Agreement	*One-year, full-time, $150K compensation*
Employment Agreements	*Likely with three Regional Managers*
Working Capital	*One month of payroll as reconciliation holdback*
Asset vs. Stock Sale	*Asset sale*
Target Close Date	*April 30, 2025*

Reason for Sale

The two majority owners, Bob and Jane (47.5% each), would like to retire and transition out of the company after a year of transition support. Bobbie (5% ownership) would like to stay on and continue supporting the business. She is comfortable selling her minority interest in the company.

Business Overview

EBO Description

EBO was founded in 1984 by Jane and Bob and has grown to become one of the leading HOA and condominium management firms in the St. Louis metro area. The Company provides full-service association management to 244 communities across Missouri, including maintenance services.

Services Offered

Core Association Management Services

- Full-service HOA & condominium association management
- Board governance support and meeting facilitation
- Financial management: budgeting, accounts payable/receivable, reserve fund analysis
- Vendor management and contractor coordination
- Homeowner communications and portal management

Ancillary / Add-On Services

- In-house maintenance and repair coordination
- Transfer fee processing and resale document management
- Insurance certificate management
- Violation enforcement and compliance tracking

Service Area & Geography

Primary market: St. Louis Metro Area
Office location(s): 123 Blinded Office Blvd.
Remote / hybrid: Fully in-office

Software & Technology Stack

Client accounting: Vantaca
Corporate accounting: QuickBooks
Transfer & resales: CondoCerts
Payroll: Innovia
Client banking: First Citizens
Homeowner portal: Vantaca
CRM / Sales: N/A

Ownership Structure

Legal entity: LLC
State of formation: Missouri

Owner Name	Ownership %	Role	Post-Close Role
Bob	*47.5%*	*CEO*	*Retiring*
Jane	*47.5%*	*CFO*	*Retiring*
Bobbie	*5.0%*	*Head of Client Accounting*	*Head of Client Accounting*

Financial Summary

Note: All figures in USD thousands unless noted. Financials are as provided by Seller and have not been independently audited.

Summary Income Statement

EBO

Historical P&L Summary ($000s)

	Fiscal Year End		
	Dec-22	Dec-23	Dec-24
Revenue			
Mgmt. Fees	$2,750	$3,290	$3,972
Maintenance Income	1,626	1,775	2,106
Earnings Credits	–	591	785
Transfer Fees	402	414	519
Bid Job Income	137	267	899
Other Revenue	188	383	389
Total Revenue	**$5,103**	**$6,720**	**$8,670**
% Growth		*32%*	*29%*
Average # of Associations	236	246	249
Average # of Doors	27,540	30,422	33,372
Monthly Mgmt. Fee / Door ($)	$8.3	$9.0	$9.9
Monthly Transfer Fee / Door ($)	$1.2	$1.1	$1.3
Monthly Addendum Fee / Door ($)	$0.6	$1.0	$1.0
Expenses			
Payroll	$3,316	$4,033	$4,993
Computer / Software	76	150	246
Insurance	61	71	123
Rent	95	105	123
Other Expenses	504	815	808
Total Expenses	**$4,052**	**$5,174**	**$6,293**
% Growth		*28%*	*22%*
Reported EBITDA	**$1,051**	**$1,545**	**$2,377**
% Margin	*21%*	*23%*	*27%*

EBO is a high margin organization (27% margins) with 30% overall revenue generated from the company's maintenance income. Profitability has been driven by excellent employee and customer retention, which has allowed for strong utilization and efficiency and lean support operations, particularly in accounting.

Bid job income tripled from '23 to '24, driven by a single large roof replacement project, and has reverted towards historical performance over the TTM period. The increase in earnings credit income was due to the timing of EBO's earnings credit agreement with First Citizens beginning in May 2023. The agreement is a floating rate based on Fed Funds, and is similar with other agreements.

STL has grown faster than Columbia due to pricing competition in that market; EBO positions itself as a more premium provider, which has allowed for some undercutting.

Maintenance revenue growth has driven largely from the addition of several dedicated employees at EBO's largest customer (and the largest Condo association in MO). This customer has also driven an uptick in bid job income due to a project to replace approximately 1,700 decks across the association. As of Q1'25, approximately 300 have been completed, and management estimates the project to continue for another ~3 years.

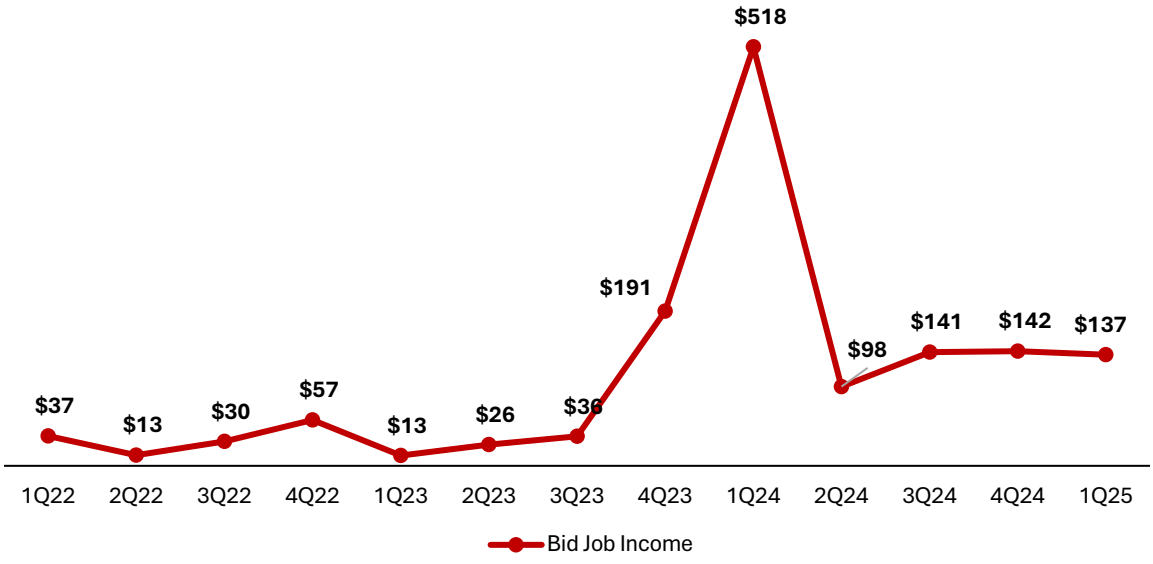
Reported EBITDA to Pro Forma EBIDA Bridge

Deal Structure Overview (Figures in $000s)

NOI	**$2,236**	
Annualized current mgmt. fees	4,115	*Dec '24 mgmt. fees*
(-) LTM mgmt. fees	(3,972)	*Last twelve months mgmt. fees in the financials*
Net Revenue Pro Forma	**$143**	
Est. Payroll		
Annualized current payroll	5,368	*Annualized average payroll costs over the past 3 months*
(-) LTM payroll costs	(5,027)	*Last twelve months total payroll in the financials*
Net Payroll Pro Forma	**($341)**	
CEO's Salary	157	*Bob would likely work FT for one year*
(-) Replacement CEO	(226)	*Assumes $200k+ tax and benefits*
President's Salary	76	*Assumes Jane retains 50% of salary as PT advisor*
(-) Replacement Controller	(141)	*Assumes $125k+ tax and benefits*
Net Replacement Costs	**($134)**	
Non-Recurring / EBITDA Adj.		
Depreciation	98	
Owners' Personal and Auto Expenses	31	
Other Add-Backs Total	**$129**	
TTM PF Adj. EBITDA	**$2,034**	*Note: We are waiting for seller confirmation on personal expenses*

The PF EBITDA adjustment includes a significant increase in personnel costs, driven both by the replacement costs of new leadership as well as annualized payroll costs for new employees hired over the past year to support growth.

Bid Job Income Revenue



Bid job income spiked in 1Q24 due to a significant capital project engagement with Brentwood (the largest client). We will need to discuss the likelihood and frequency of these capital projects, along with the contribution margin to determine normalized bid job earnings (estimated $250K EBITDA impact).

Customers

Customer Concentration

EBO

Top 20 Customer Overview ($000s)

	Mgmt. Fees	Units	Type	Start Date	Tenure (Yrs)	% Total
Brentwood Forest Condominium	$32	1,425	COA	2023	2	10%
Raintree Plantation Property Owners Association	$12	2,331	HOA	2024	1	4%
Westport Crossing Condominium Association	5.8	302	COA	2023	2	2%
Autumn Lakes Condominium	5.1	294	COA	2024	1	2%
The Villages at Springhurst	4.5	691	HOA	2020	5	1%
Bridgewater Cove Condominium Assn	4.4	228	COA	2025	–	1%
Greenbriar Condominium Unit Owners' Association	4.4	218	COA	2023	2	1%
Monticello Recreation Corporation	4.1	1,018	HOA	2022	3	1%
Duchesne Parque Condominium Assoc	4.1	219	COA	2025	–	1%
Lin Capri Condominiums	4.0	200	COA	2021	4	1%
Ridgeview Place Condominium Association	3.8	193	COA	2019	6	1%
Hickory Sound	3.8	188	COA	2008	17	1%
Trianon at Southwoods Condominium	3.8	180	COA	2012	13	1%
Chapter One Residents Assoc.	3.7	157	HOA	1999	26	1%
Briar Hill Farm Condominium	3.5	140	COA	2021	4	1%
Eagle Ridge Condominiums	3.4	142	COA	2022	3	1%
Oakville Commons	3.3	144	COA	2009	16	1%
Mill Crossing Condominium Association	3.3	113	COA	2025	–	1%
Stonewolf Community Association	3.2	226	HOA	2020	5	1%
Treetop Condominium Association	2.4	324	COA	1997	28	1%
Top 20 Total	**$115**	**8,733**				**37%**
Remaining Customers	192	27,004				63%
Total Customers	**$307**	**35,737**				**100%**

EBO's largest customer is Brentwood Forest Condominiums, the largest condo complex in the state of Missouri. Brentwood has four dedicated onsite management personnel, three dedicated maintenance people, and is additionally in the midst of a significant capital improvement project being managed by EBO. Additionally, due to its size Brentwood averages ~$5M of deposits in bank accounts, which contributed meaningfully to earnings credit revenue. Given these diverse revenue streams, we estimate that Brentwood makes up 15-20% of overall earnings.

The customer relationship with Brentwood is strong, and Brentwood preemptively reached out to renew the contract and negotiations are ongoing. However, Brentwood is also going through a board election within the next month.

Client Retention Analysis

Annual Customer Retention Analysis

	2021A	2022A	2023A	2024A
Doors Retention (Count)				
Prior Year Door Count	146	165	197	219
(+) New Customers	15	18	15	16
(-) Customer Churn	(4)	(14)	(7)	(9)
Ending Door Count	**165**	**197**	**219**	**244**
New Customers as % of Beginning Count		*11%*	*8%*	*7%*
Doors Retention Rate	***97%***	***92%***	***96%***	***96%***

Employees

Employee Overview

Employee Summary ($000s)

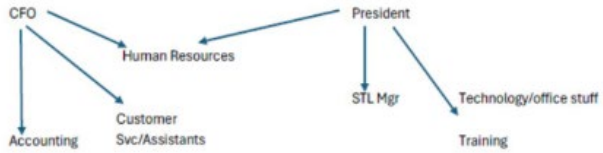
Department Overview

	Count	Gross Pay	Total Comp	Avg. Comp	Mgmt. Fee Cut	Avg. Tenure
Manager	23	$1,442	$1,693	$74	41%	4.4
Maintenance	13	828	975	75	24%	6.8
On-Site	9	476	542	60	13%	3.3
Executive	5	523	584	117	14%	21.1
Accounting	4	208	243	61	6%	7.8
Assistant Manager	4	240	286	71	7%	11.2
Admin Assistant	3	140	168	56	4%	12.1
Other	2	32	33	16	1%	0.9
Total	**63**	**$3,889**	**$4,523**	**$76**	**97%**	**10.4**

EBO operates with a CAM cut and mgmt. fee cut in-line with industry expectations. The company noted that all but one manager currently has capacity to take additional accounts, and no additional managers are needed for the foreseeable future.

Organizational Structure





EBO has a strong leadership organization beneath the three sellers. Bob oversees the leader of the maintenance organization and regional market heads for St. Charles, Illinois, and Columbia. The market heads support his marketing and business development efforts in their territories, with the St. Charles lead supporting marketing across the entire organization.

Employee Retention Analysis

EBO

Annual Employee Retention Analysis

	2020A	2021A	2022A	2023A	2024A
Corporate Employee Retention	**Jan '20 - Dec '24 Average Retention**				**92%**
Prior Year Employee Count	**26**	**29**	**31**	**33**	**36**
(+) New Hires	6	2	7	6	6
(-) Employee Churn	(3)	–	(5)	(3)	(3)
Ending Employee Count	**29**	**31**	**33**	**36**	**39**
Average Employee Count	*27*	*30*	*32*	*35*	*38*
Employee Retention Rate	***88%***	***100%***	***84%***	***91%***	***92%***